

Quick & Concise Notes

FYJC BK & Accounts

Chp 1 - Intro to BK & Accountancy

Chapter 1: Introduction to Book Keeping and Accountancy

Introduction

Book-keeping is the systematic recording of business transactions involving the exchange of money or money's worth. This information is crucial for decision-making regarding the feasibility and profitability of activities. Various stakeholders, including proprietors, managers, government, investors, customers, employees, and researchers, require this financial data.

Evolution of Accounting

- **Ancient India:** During Chandragupta Maurya's reign, Minister Kautilya's 'Arthashastra' contained references to accounting records, later known as "Deshi Nama."
- **Early Civilizations:** Agents managed properties for the wealthy, preparing periodic accounts for owners. Records of debit and credit existed as early as the 12th century.
- **1494:** Luca De Bargo Pacioli, an Italian merchant, introduced the **Double-Entry Book-keeping system**.
- **18th & 19th Centuries (Industrial Revolution):** Large-scale operations and the emergence of Joint Stock Companies (separating ownership from management) necessitated comprehensive financial accounting systems to protect owners' and investors' interests.
- **20th Century:** The need for financial analysis for managerial decisions led to the development of **Management Accounting** as a distinct branch.
- **21st Century:** Accounting evolved into **Social Responsibility Accounting** due to vast growth in business activities, making it indispensable in the modern world.

1.1 Meaning and Definition

Book-keeping:

In simple terms, book-keeping is the systematic recording of monetary business transactions in the books of accounts, date-wise, to derive accurate business results at the end of an accounting year. It is an art or science of systematically recording, classifying, and summarizing financial transactions for a specific period, usually one year.

Definitions of Book-Keeping:

- **Richard E. Strahelm:** "The art of analyzing and recording business transactions, reporting results of business operations through periodic statements and interpreting such results for purposes of effective control of future operations."
- **J. R. Batliboi:** "Book-keeping is an art of recording business dealings in a set of books."
- **Nocth Cott:** "Book-keeping is an art of recording in the books of accounts the monetary aspects of commercial or financial transactions."
- **R.N. Carter:** "Book-keeping is the science and art of correctly recording in the books of accounts, all those business transactions that results in transfer of money or money's worth."

Features of Book-keeping:

1. Records day-to-day business transactions.
2. Only financial transactions are recorded.
3. Records are prepared for a specific period for future reference.
4. Transactions are recorded based on rules and regulations.
5. It is a scientific art of recording business transactions.

Objectives of Book-keeping:

1. To keep a complete, accurate, systematic, orderly, and logical record of all financial transactions.
2. To record all business transactions date-wise and account-wise.
3. To serve as a permanent record and evidence of monetary transactions.
4. To ascertain the profit or loss of the business during the financial year.
5. To determine the total assets and liabilities of the enterprise.
6. To know what the businessman owes to others and what others owe to him.
7. To track current year's progress against previous years and compare financial results with competitors.

1.2 Importance of Book-keeping

1. **Record:** Maintains permanent and systematic records of all transactions, as it's impossible to remember everything.
2. **Financial Information:** Provides information on Profit, Loss, Assets, Liabilities, Investments, Stock, etc.
3. **Decision Making:** Offers crucial financial data for business decisions.
4. **Controlling:** Enables executives to control business activities effectively.
5. **Evidence:** Serves as financial evidence in legal disputes.
6. **Tax Liability:** Helps in calculating tax liabilities such as Income Tax, Property Tax, GST.

Utility of Book-keeping:

- **Owner:** Helps in determining Profit, Losses, Assets, and Liabilities.
- **Management:** Facilitates planning, decision-making, and control of business activities.
- **Investors:** Aids in making informed investment decisions.
- **Customer:** Helps understand the business's financial position and ensures supply of goods.
- **Government:** Assists in calculating various taxes due from different sources.
- **Lenders:** Provides insights into the enterprise's financial standing for lending decisions.

- **Development:** Supports business growth through accurate accounting.

1.3 Difference between Book-Keeping and Accountancy

Point	Book-keeping	Accountancy
Meaning	Concerned with recording and classifying transactions.	Involves recording, classifying, summarizing, analyzing, and interpreting financial data.
Stage	Primary stage, base for accounting.	Includes primary and secondary stages (analysis and interpretation).
Objectives	To keep records of all financial transactions systematically.	To prepare financial statements and communicate information to authorities.
Responsibility	Junior staff responsible for records.	Senior staff responsible for accounts.
Outcomes	Primarily results in Journal and Ledger.	Results in Profit and Loss A/c and Balance Sheet.
Period	Gives day-to-day details.	Gives details for the entire year.
Analysis	Does not require analysis.	Uses book-keeping information to analyze, interpret, and compile data into reports.
Decision Making	Management cannot make decisions solely based on book-keeping data.	Management can take critical business decisions based on accountant's data.

Skill Required

Analytical skill not required.

Requires analytical skill.

1.4 Meaning and Definition of Accountancy

Book-keeping is a part of Accounting, representing its primary stage of recording transactions. **Accountancy** is the broader practice that encompasses recording, classifying, and reporting business transactions. Accounting principles are universal norms and assumptions that form the basis of the accounting system.

Definitions:

1. **Kohler:** "Accountancy refers to the entire body of the theory and process of accounting."
 2. **Prof. Robert N. Anthony:** "Nearly every business enterprise has an accounting system. It is a means of collecting, summarizing, analyzing and reporting in monetary terms information about the business transactions."
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1.5 Basis (Methods) of Accounting System

There are mainly three bases or methods of accounting:

1. **Cash Basis:**

- Records actual cash receipts and actual cash payments only.
- Revenue is recognized when cash is received.
- Expenses are recognized when cash is paid.
- **Examples:** Income received, expenses paid.
- **Commonly followed by:** Professionals (Doctors, Lawyers, CAs) and Not-for-Profit Organizations.

2. **Accrual or Mercantile Basis:**

- Records revenue when it is earned or accrued, regardless of whether cash is received.
- Records expenses when they are incurred, regardless of whether cash is paid.
- **Examples:** Income earned (whether received or not), expenses incurred (whether paid or not).
- This method provides a more accurate picture of a company's financial performance over a period.

3. **Mixed or Hybrid Basis:**

- A combination of both cash basis and accrual basis.
- Revenues and assets are generally recorded on a cash basis.
- Expenses are generally recorded on an accrual basis.
- **Note:** This method is prohibited by law in India.

1.6 Qualitative Characteristics of Accounting Information

Accounting information, while numerical, possesses crucial qualitative characteristics to be useful for decision-making.

Refer to the image on the next page.

Qualtive Characteristics & Accounting Informaplies

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1. Reliability of Accounting Information:

- Information must be trustworthy to form judgments about earning potential and financial position.
- Reliability can vary between items (e.g., plant and machinery info might be less reliable than current assets due to uncertainty).

2. Relevance of Accounting Information:

- Information must be capable of influencing a decision.
- It helps users predict future outcomes or confirm/correct expectations.
- Should not include unnecessary information; must have timeliness, predictive, and feedback value.

3. Understandability of Accounting Information:

- Information should be presented clearly and with appropriate terminology, allowing users to perceive its significance.
- Increases the usefulness of information to a wider range of users.

4. Comparability of Accounting Information:

- Allows decision-makers to compare alternatives.
- Implies reporting similar things similarly and dissimilar things differently.
- Helps determine relative financial strengths, weaknesses, and future prospects between firms or periods within a single firm.

1.7 Basic Accounting Terminologies

To better understand accounting, familiarity with its basic terms is essential.

1.7.1 Transactions

Exchange of goods and services between two persons or parties for money or money's worth.

- **Monetary Transactions:**

- Involve the exchange of money or money's worth (directly or indirectly). Only these are recorded.

1. **Cash Transactions:** Cash is paid or received immediately.

- *E.g.*, Purchase of goods for cash, payment of salary.

2. **Credit Transactions:** Cash is not paid/received immediately but at a later date.

- *E.g.*, Goods sold on credit, machinery sold on credit.

- **Non-Monetary Transactions:**

- Do not involve the exchange of money or money's worth.
- *E.g.*, Barter transactions (exchange of one thing for another).

- **Entry:** Recording a business transaction in the proper form/method in the books of accounts.
- **Narration:** A brief explanation of a business transaction below a journal entry, usually starting with "Being" or "For" and enclosed in brackets.
- **Goods:** Merchandise, commodities, articles, or things a trader deals in, purchased or manufactured for sale to earn profit.
 - *E.g.*, Medicines for a chemist, vegetables for a vendor, vehicle parts for an auto manufacturer.

1.7.2 Capital and Drawings

- **Capital:**
 - The total amount invested into the business by the owner.
 - Also defined as the excess of assets over liabilities ($\text{Capital} = \text{Assets} - \text{Liabilities}$).
 - Considered a liability of the business, payable to the owner upon closure.
- **Drawings:**
 - Cash, goods, or assets withdrawn from the business by the owner for personal use.
 - *E.g.*, Proprietor paying son's college fees, medical expenses, or mobile bills from business funds.

1.7.3 Debtors and Creditors

- **Debtor:** A person who owes money to the business for goods/services received on credit.
- **Creditor:** A person to whom the business owes money for goods/services received on credit.
- **Bad Debts:** An irrecoverable amount from a debtor, representing a revenue loss to the business.

1.7.4 Expenditure and Types of Expenditure

Expenditure: An amount spent by the business for any consideration received.

- **Capital Expenditure:**
 - Incurred to acquire or increase the value of fixed assets.
 - Provides benefits for a long period and is non-recurring.
 - *E.g.*, Purchase of machinery, building extension, computer purchase.
- **Revenue Expenditure:**
 - Provides immediate or short-term benefits (less than one year).
 - Does not increase profit-earning capacity.
 - Normal day-to-day operating expenses, appearing on the debit side of Trading A/c or Profit and Loss A/c.
 - *E.g.*, Rent paid, Salary paid, Wages paid.
- **Deferred Revenue Expenditure:**
 - Revenue in nature, but its benefit extends beyond one year.
 - Written off over several years; written-off amount shown on the debit side of Profit and Loss A/c, unwritten amount on the asset side of the Balance Sheet.
 - *E.g.*, Heavy advertising expenditure, heavy legal expenses.

1.7.5 Cash Discount and Trade Discount

Discount: A concession or allowance given by the seller to the purchaser.

- **Trade Discount:**
 - An allowance given on the catalogue or list price of goods at the time of purchase/sale.
 - The value of goods is recorded *net* of trade discount.
 - Does not appear separately in the books of accounts.
 - *E.g.*, Goods sold for ₹1,000 at 5% trade discount are recorded at ₹950.

- **Cash Discount:**
 - An amount deducted from the final amount due at the time of receipt to encourage prompt payment.
 - Calculated *after* deducting trade discount.
 - Appears in the books of accounts as a loss to the seller and a gain to the buyer.

1.7.6 Solvent and Insolvent

- **Solvent:**
 - A person whose assets are greater than or equal to their liabilities.
 - Financially sound and capable of paying off all debts.
 - *E.g.*, Assets of ₹50,00,000 and debts of ₹30,00,000.
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- **Insolvent:**
 - A person whose liabilities are greater than their assets.
 - Unable to pay off their debts.
 - *E.g.*, Assets of ₹20,00,000 and debts of ₹50,00,000. (If a court is satisfied, they can be declared insolvent.)

Accounting Year

The 12-month period for which accounts are maintained and closed. For income tax purposes in India, it starts on April 1st and ends on March 31st. At the end of the accounting year, Trading Account, Profit and Loss Account, and Balance Sheet are prepared to determine the financial position.

Trading Concern and Not for Profit Concerns

- **Trading Concern:**
 - A business established with the objective of earning profit by selling goods.
 - Also known as a commercial organization or profit-making organization.

- **Not for Profit Concern:**
 - An organization not established for profit, but for rendering services to society.
 - Formed to promote useful objects like art, science, sports, culture, charity, profession.
 - *E.g.*, Schools, Hospitals, Sports Clubs.

1.7.8 Goodwill

The intangible attributes of a business that contribute to its superior earning capacity beyond a normal return on investment. It arises from factors like favorable location, skilled employees/management, product/service quality, and customer satisfaction.

- Reputation of business expressed in monetary terms.
- An intangible asset.

1.7.9 Profit or Loss

- **Profit:**
 - Occurs when the selling price of goods is more than the cost price.
 - Increases the capital of the business.
 - *E.g.*, Goods sold for ₹50,000, expenses ₹30,000, Profit = ₹20,000.

- **Loss:**
 - Occurs when the cost price of goods is more than its selling price.
 - Decreases the capital of the business.
 - *E.g.*, Goods sold for ₹50,000, expenses ₹60,000, Loss = ₹10,000.

- **Income:** Revenue arising from business transactions, including amounts receivable or realized from services, interest, dividends, commission, etc.

- **Revenue:** Income a business derives from its normal activities, usually from the sale of goods and services.

1.7.10 Assets, Liabilities, Net Worth

- **Assets:** Any physical thing or right owned by the business that has monetary value.
 - *E.g.*, Land, Goodwill, Patents, Computers.

- **Types of Assets:**
 - **Fixed Assets / Non-current Assets:** Provide long-term benefits to the business (e.g., Land and Building, Plant & Machinery, Goodwill). Can be tangible or intangible.
 - **Current Assets:** Held for the operating year and easily convertible into cash (e.g., Debtors, Bills Receivable, Cash in Hand/Bank, Stock).
 - **Fictitious Assets:** Imaginary assets not represented by tangible property and have no realisable value (e.g., Deferred revenue expenditure like advertising paid for multiple years).

- **Liabilities:** Amounts payable by the business to others; debts or amounts due for benefits received.
 - *E.g.*, Loan taken, Creditors, Bank Overdraft, Outstanding Expenses.

- **Types of Liabilities:**
 - **Fixed Liabilities:** Major source of funds, long-term (e.g., Capital, secured loans, long-term bank loans).
 - **Current Liabilities:** Short-term liabilities payable within a year, arising from regular operations, usually unsecured (e.g., Creditors, Bills Payable).

- **Net Worth or Owner's Equity or Capital:**
 - Funds provided by the proprietor in the business.
 - Also, the excess of assets over liabilities (Capital = Assets – Liabilities).
 - Includes Capital and Reserves. Can be in cash or kind.
 - *E.g.*, If Assets = ₹6,00,000 and Liabilities = ₹2,00,000, then Capital = ₹4,00,000.

Contingent Liabilities:

- A liability that may arise in the future, dependent on the happening or non-happening of a certain event.
- Not a confirmed liability, so it doesn't affect the financial position or appear on the Balance Sheet's liability side.
- Disclosed as a footnote to the Balance Sheet for informational purposes.
- *E.g.*, A worker's compensation claim pending a court decision.

1.8 Accounting Concepts, Conventions and Principles

Meaning and Importance of Accounting Concepts:

Accounting is the language of business, communicating operational results to various interested parties (owners, creditors, investors, banks, government). It systematically records, classifies, and summarizes business transactions.

Importance of Accounting Concepts:

1. Ensure reliable financial statements.
 2. Provide uniformity in presentation.
 3. Establish a generally acceptable basis of measurement.
 4. Ensure proper information to all users.
 5. Based on valid and appropriate assumptions.
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Some Important Accounting Concepts

1. Business Entity Concept:

- Treats the business unit as separate and distinct from its owner(s).
- Accounts are prepared from the business's perspective, not the owner's.
- The business is liable to the owner for capital contributed.
- Only business transactions are recorded; personal transactions of owners are excluded (except for capital contributions or drawings).
- *Example:* If a building's rent is ₹50,000, and half is for business and half for personal residence, only ₹25,000 is recorded as a business expense, with the other ₹25,000 treated as drawings from the proprietor's capital.

2. Money Measurement Concept:

- Only transactions expressible in monetary terms are recorded.
- The ruling currency of a country is the measuring unit.
- Non-monetary events (e.g., working conditions, strikes, management efficiency) are not recorded.
- Helps in understanding business affairs by providing a common measure for heterogeneous facts.
- *Example:* 5 computers, 2 tables, and 3 chairs cannot be added directly, but their monetary values (₹1,50,000 for computers, ₹15,000 for tables, ₹2,500 for chairs) provide useful aggregate information.

3. Cost Concept:

- Assets are recorded in the books at their historical (acquisition) cost.
- Acquisition cost serves as the base for all subsequent accounting.
- The book value is systematically reduced by charging depreciation over time.
- Market value fluctuations are generally ignored for initial recording.
- *Example:* Furniture purchased for ₹3,00,000 is recorded at that cost, even if its market value changes to ₹1,00,000 or ₹1,50,000.

4. Consistency Concept:

- Accounting policies adopted should be continuous and consistent over time.
- Changes in policies are generally avoided unless circumstances demand it, and any changes must be disclosed with a note.
- Does not prohibit the adoption of new, improved techniques.
- *Example:* A company consistently uses the fixed installment method for depreciation on a fixed asset throughout its estimated life.

5. Conservatism (Prudence) Concept:

- "Anticipate no profit, but provide for all possible losses."
- Encourages making excess provisions to prevent losses, potentially leading to secret reserves.
- May result in a lower reported income on the income statement and an overstatement of liabilities/understatement of assets on the Balance Sheet.
- Advises the accountant to "play safe."
- *Example:* If closing stock is valued at ₹25,000 (cost) and ₹35,000 (market price), the lower value of ₹25,000 will be used for recording.

6. Going Concern Concept:

- Assumes that the business will continue its operations indefinitely into the future.
- Influences accounting practices related to asset/liability valuation, depreciation, and treatment of outstanding/prepaid expenses and accrued/unearned revenues.
- Short-term fluctuations in asset values are typically ignored.
- *Example:* Assets are generally valued at historical cost, assuming the business will not be liquidated soon.

7. **Realization Concept:**

- Income is recorded only when it is realized (earned or received).
- Revenues are recognized when sales are made or services are rendered, regardless of when cash is received.
- *Example:* If a company receives an order in May for ₹1,00,000 but only sells and delivers ₹60,000 worth of goods in June (receiving cash in September), the sale of ₹60,000 is recorded in June as per the realization principle.

8. **Accrual Concept:**

- Income is recorded when it accrues (earned), and expenses are recorded when they accrue (become payable).
- All revenues and expenses pertaining to an accounting period are considered, irrespective of cash receipt or payment.
- *Example:* If a company invests ₹1,00,000 at 10% p.a. interest from Oct 1, 2015, to Sep 30, 2016, interest earned for the period ending March 31, 2016, will be accrued and recorded even if the cash interest is received only on maturity.

9. **Dual Aspect Concept:**

- Every transaction has two aspects or a dual effect.
- For every debit, there is a corresponding and equal credit.
- This is the foundation of the double-entry book-keeping system.
- Leads to the basic accounting equation: **Capital + Liabilities = Assets.**
- *Example:* When Akshay starts a business with ₹5,00,000 cash, the business receives ₹5,00,000 cash (an asset), and simultaneously, a liability (capital) of ₹5,00,000 to Akshay arises.

10. Disclosure Concept:

- Accounts must disclose all material information.
- Accounting reports should provide full and fair information about financial position (Balance Sheet) and performance (Profit and Loss Account) to all related parties.
- Information disclosed must be relevant, reliable, comparable, and understandable.

11. Materiality Concept:

- An exception to the full disclosure principle.
- Financial statements should only disclose items that are significant enough to influence the decisions of users.
- Insignificant or irrelevant items need not be disclosed.
- Materiality is subjective, depending on the amount, business size, nature of information, and user requirements.
- *Example:* A small repair cost might be immaterial for a large corporation but highly material for a small sole proprietorship.

12. Matching Concept:

- Revenues earned during an accounting period are matched with the expenses incurred during that same period to earn those revenues.
- Based on the accrual concept and periodicity concept (which fixes the time frame for performance measurement).
- Requires adjustments for outstanding/prepaid expenses and accrued/unearned revenues.
- Provisions are made for depreciation, bad debts, etc., relating to the accounting period.
- Ensures accurate calculation of profit or loss for a specific period.

1.9 Accounting Standards (AS) and IFRS

Accounting Standards:

Provide a framework and norms for accounting, ensuring consistency, comparability, adequacy, and reliability of financial reporting across different enterprises.

- **Kohler's Definition:** "Accounting standards are codes of conduct imposed by customs, laws or professional bodies for the benefit of public accountants and accountants generally."
- **Description:** Written policy documents issued by expert accounting bodies, government, or regulatory bodies, covering recognition, measurement, treatment, presentation, and disclosure of accounting transactions and events.

Need for Accounting Standards:

1. To promote better understanding of financial statements.
2. To help accountants follow uniform procedures and practices.
3. To facilitate meaningful comparison of financial statements between entities.
4. To enhance the reliability of financial statements.
5. To meet legal requirements effectively.

International Financial Reporting Standards (IFRS):

- Issued by the International Accounting Standards Board (IASB).
- A set of international accounting standards dictating how specific types of transactions and events should be reported in financial statements.
- Aimed at developing globally acceptable accounting standards and improving international financial reporting.

Accounting Standards in India:

- Issued by the Institute of Chartered Accountants of India (ICAI).
- The Accounting Standards Board (ASB) was constituted on April 21, 1977, by the Council of ICAI to formulate these standards.
- ASB considers applicable laws, customs, business environment, and International Accounting Standards when framing Indian Accounting Standards (AS).
- **Convergence with IFRS (Ind AS):** Due to globalization, Indian accounts need to be compatible internationally. This led to the convergence of existing AS with IFRS, resulting in **Ind AS**.
- Ind AS are essentially IFRS modified for Indian accounting practices, customs, and traditions.
- Currently, large companies must follow Ind AS, while smaller units can still use AS. All businesses are expected to migrate to Ind AS in the future.

Some Accounting Standards (AS) issued by ICAI: (The Council has issued 31 AS so far)

1. **AS-1 Disclosure of Accounting Policies** (Effective: 1-4-1991 for Companies; 1-4-1993 for others)
 - Requires accounting policies to be disclosed as part of the financial statements, normally in one place.
2. **AS-2 Valuation of Inventories** (Effective: 1-4-1999)
 - Inventories should be valued at the lower of historical cost and net realizable value.
3. **AS-3 Cash Flow Statements** (Effective: 1-4-2001)
 - Requires a cash flow statement to be prepared and presented for the same period as the profit and loss account.

4. **AS-6 Depreciation Accounting** (Effective: 1-4-1995)
 - Depreciation amount of an asset should be systematically allocated over its useful life for each accounting period.
5. **AS-8 Accounting for Research and Development** (Effective: 1-4-1991 for Companies; 1-4-1993 for others)
 - Research and development costs should be charged as an expense in the period they are incurred.
6. **AS-9 Revenue Recognition** (Effective: 1-4-1991 for Companies; 1-4-1993 for others)
 - Establishes the basis for recognizing revenue items in the Profit and Loss Account and sets conditions for revenue recognition from various transactions.
7. **AS-10 Accounting for Fixed Assets** (Effective: 1-4-1991 for Companies; 1-4-1993 for others)
 - Cost of fixed assets includes original cost and attributable costs to bring the asset to working condition. Fixed assets are removed from financial statements upon disposal or when no future benefit is expected.
8. **AS-12 Accounting for Government Grants** (Effective: 1-4-1994)
 - Government grants should be recognized when there is assurance of compliance with attached conditions.

9. **AS-13 Accounting for Investments** (Effective: 1-4-1995)

- Enterprises must distinguish between current and long-term investments in financial statements. Current investments are carried at the lower of cost or fair value; long-term investments are always carried at cost.

10. **AS-22 Accounting for Taxes on Income** (Effective: 1-4-2001)

- Tax expenses for the period (current tax and deferred tax) should be included in determining the net profit or loss for the period.
-